Capitalized Interest Accounting Policy

PURPOSE

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings, Inc.'s ("Hilton" or the "Company") accounting for capitalized interest in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

BACKGROUND

The Company capitalizes interest costs as part of acquiring certain types of assets[1]. Refer to the scope section for discussion of the types of assets.

SCOPE

Interest is typically capitalized for the following types of assets/ projects:

- Assets constructed or otherwise produced for the Company's own use, including assets constructed or produced for the Company by others for which deposits or progress payments have been made (e.g. internal software development projects).
- Assets intended for sale or lease that are constructed or otherwise produced as discrete projects (e.g. timeshare inventory).
- Remodeling/renovating an asset owned by the Company (e.g. fixed assets).[2]

For guidance on the capitalization of fixed assets, internal use software and recognition of timeshare inventory please refer to **FP-FIN-001 – Fixed Assets Accounting Policy**, **FP-FIN-016 – Internal Use Software Accounting Policy**, and **FP-FIN-027 – Inventory - Timeshare Accounting Policy**.

For the purposes of applying this policy, interest will only be capitalized for capital projects that meet **both** of the following thresholds:

- Project has budgeted expenditures in excess of $5 million, and
- Project duration is expected to exceed 90 days.

Capital projects should be evaluated individually to determine if the budget and duration exceeds these minimum threshold levels.

POLICY SUMMARY

This policy provides the details of Hilton's accounting for capitalized interest. This policy is broken down into the following sections:

I. Initial Recognition & Measurement
  a. Capitalization Period
  b. Capitalization Amount
II. Subsequent Measurement
III. Derecognition
IV. Financial Statement Line Items Affected

APPLICABILITY

This policy applies to all Finance personnel, as well as Asset Management, Legal and IT personnel.

EXCLUSIONS / EXCEPTIONS

When the cost of asset renovations, minor inventory items, or individual items of PP&E are less than the specified thresholds detailed in the scope section above, the Company will not capitalize any associated interest but will instead expense it in the period incurred.[3]

Interest should not be capitalized for the following:

- Assets that are in use or ready for their intended use. For example, in the case of a hotel renovation the space associated with the renovation must be unavailable for its intended business purpose (i.e. a room renovation where the guest rooms are not available for use by guests or a kitchen renovation where the kitchen is not available to

[1] *ASC 835-20-15-2, Other Considerations – General Concepts*
[2] *ASC 835-20-15-5, Other Considerations - Assets for Which Interest Shall Be Capitalized*
[3] *ASC 835-20-15-4, Other Considerations – General Concepts*

support the hotel guests). Said another way, in the case of a renovation, if the area being renovated is in use during the period renovation costs are accumulating, interest cannot be capitalized on the accumulated capital expenditures.

- Assets (including land[4]) that are not used in earning activities and are not undergoing the activities necessary to get them ready for use.
- Assets that are not included in the consolidated balance sheet of the parent company and consolidated subsidiaries.[5]
- Investments accounted for by the equity method.

AUTHORIZATION

Required Consultations with Accounting Research & Policy

None

POLICY DETAILS

I. Initial Recognition & Measurement

a. Capitalization period

The Company will capitalize interest given the following:

- Expenditures for the asset/project have been made. Such expenditures are capitalized expenditures for the qualifying asset that have required the payment of cash, the transfer of other assets, or the incurring of a liability on which interest is recognized (in contrast to liabilities, such as trade payables, accruals, and retainages on which interest is not recognized);
- Activities that are necessary to get the asset/project ready for its intended use are in progress;
- Interest cost is being incurred.

Interest capitalization shall continue as long as the above the conditions are present.[6]

If the conditions above are present, the Company will capitalize interest until the asset/project is ready for intended use (i.e. receipt of certificate of occupancy, in-service date of software). The capitalization period will end when the asset is substantially complete and ready for its intended use.

If the Company suspends substantially all activities related to acquisition of the asset, interest capitalization shall cease until activities are resumed. Brief interruptions in activities (one month or less), interruptions that are externally imposed, and/ or delays that are inherent in the asset acquisition or construction process shall not require cessation of interest capitalization.[7]

b. Capitalization amount

Capitalization Rate

If the underlying property is used as collateral for a specific debt instrument (i.e. mortgage loan, CMBS, etc.), the Company will use the effective interest rate of that specific debt to capitalize interest for that property. If the planned expenditures for a project for a property exceeds the associated specific debt instrument's principal balance, the Company will use the specific debt's effective interest rate on expenditures up to the borrowing amount and will use the non-collateralized debt's weighted average interest rate on the remaining expenditures. If the underlying property is not used as collateral for a specific debt instrument, the Company will use the prior quarter's weighted-average interest rate of the Company's non-collateralized debt instruments to capitalize interest for that property. [8] Refer to the definitions below for how the Company specifically defines this metric.

Regardless of the rate utilized, the total amount of interest cost capitalized in an accounting period shall not exceed the total amount of interest cost incurred by the Company in that period.[9]

---

[4] ASC 835-20-15-8, Other Considerations – Capitalization of Land Expenditures
[5] ASC 835-20-15-6, Other Considerations - Assets for Which Interest Shall Not Be Capitalized
[6] ASC 835-20-25-3, The Capitalization Period
[7] ASC 835-20-25-4, The Capitalization Period
[8] ASC 835-20-30-3, The Amount of Interest Cost to be Capitalized
[9] ASC 835-20-30-6, The Amount of Interest Cost to be Capitalized

Capitalized Interest Calculation

The Company will calculate capitalized interest by applying the capitalization rate to the project's (versus total property) average accumulated expenditures (i.e. total accumulated expenditures divided by the months included in the period). For example, if interest is capitalized monthly, the beginning of the month and end of the month accumulated project expenditures would be averaged and multiplied the 1/12 the annual capitalization rate. The capitalized interest will be recognized within the project's construction in progress (CIP) balance (ultimately placed into service with the associated asset(s)), offset by a credit to interest expense.[10]

II. Subsequent Measurement

Capitalized interest is recorded as part of the expenditures of the asset its associated with, as such, capitalized interest should be depreciated or amortized using the depreciable life of the asset/ project which generated it. Refer to refer to **FP-FIN-001 – Fixed Assets Accounting Policy** or **FP-FIN-017 – Intangible Assets Accounting Policy** for details.

III. Derecognition

In the event a project upon which interest costs were capitalized is formally abandoned by management, the CIP balance, including any capitalized interest will be written off through depreciation expense.

As interest cost is an integral part of the total cost of acquiring a qualifying asset, its disposition shall be the same as the disposition of other components of asset cost.[11] Please refer to **FP-FIN-001 Fixed Asset Policy** or **FP-FIN-017 – Intangible Assets Accounting Policy** for further guidance.

IV. Financial Statement Line Items Affected

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

Transaction	**Affected**		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
Initial capitalization of interest	- Property and Equipment, net (debit) -	- Interest Expense (credit)	- Investing Activities (Outflow)
Recognition of depreciation based on historical cost divided by the estimated useful life.	- Property and Equipment, net (credit)	- Depreciation and amortization (Debit)	- Operating Activities (reconciling item to net income)
Write-off of asset (disposal)	- Property and equipment, net (debit & credit)	- Depreciation and amortization (debit)	- Operating Activities (reconciling item to net income)
Write-off of asset (sold for Gain/Loss)	- Property and equipment, net (debit & credit); - Cash and cash equivalents or Accounts payable, accrued expenses and other (debit)	- Gain (loss) on sales of assets, net (debt or credit)	- Investing Activities (Inflow)

[10] *ASC 835-20-30-3, The Amount of Interest Cost to be Capitalized*
[11] *ASC 835-20-40-1, General*

	Impairment of Asset with capitalized interest: Write down the value of the asset when circumstances dictate so and allocate to the income statement.	- Property and equipment, net (credit)	- Impairment loss (debit)	- Operating Activities (reconciling item to net income)

DEFINITIONS

Term / Acronym	Definition
Capitalization Rate	Rate used to determine amount of interest to be capitalized in an accounting period.
Weighted average interest rate	The weighted average interest cost is calculated as the weighted average effective interest rate (i.e. including amortization of discounts or premiums) on the Company's outstanding non-collateralized debt as well as amortization of debt issue costs. The calculation adjusts the quarter-to-date ("QTD") interest expense and average debt outstanding to exclude the impact of debt tied to specific items (i.e. mortgage notes, capital leases) as well as interest expense unrelated to the Company's debt (i.e. deferred compensation, capitalized interest, ARO accretion expense). The weighted average interest cost is calculated as the annualized adjusted QTD interest expense (including discounts/amortizations), divided by the average adjusted debt outstanding for the period.
Expenditures	Expenditures to which capitalization rates are to be applied are capitalized expenditures (net of progress payment collections) for the qualifying asset that have required the payment of cash, the transfer of other assets, or the incurring of a liability on which interest is recognized (in contract to liabilities, such as trade payables, accruals, and retainages on which interest is not recognized).
Intended Use	Intended use of an asset embraces both readiness for use and readiness for sale, depending on the purpose of acquisition.

ROLES AND RESPONSIBILITIES

Entity / Personnel	Responsibilities
For questions refer to AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research & Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research & Policy team or the listed e-mail.

RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
FP-FIN-001 – Fixed Asset Accounting Policy	
FP-FIN-016 – Internal Use Software Accounting Policy	
FP-FIN-027 – Inventory - Timeshare Accounting Policy	